

# ARGENTINA: A LONG HISTORY OF FINANCIAL CRISES

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# Argentina: A History of Financial Crises & Sovereign Debt Defaults ... (1): The 1975 Rodrigazo Plan

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- In 1973, Argentine economy was tottering under President Cámpora whose Minister for Economy, José Ber Gelbard, a Polish immigrant businessman, had close ties with Communist party. He had founded Confederación General Económica (General Economic Confederation or the CGE). He was a trusted associate of Peronists. Gelbard implemented a Keynesian Plan to increase real wages in order to strengthen the aggregate demand but then followed it up with heterodox shock of wage and price freeze as the OPEC oil price shock derailed any chance of its success.
- Gelbard hoped to save his plan by signing trade agreements with socialist countries in Eastern Europe and China, but in this era of Cold War, the U.S. moved in to thwart its efforts by countermeasures such as the blockade of the sale to Cuba of cars manufactured by U.S. companies in Argentina.
- 1975 Rodrigazo: Rodrigazo is the name given to a group of economic policies announced in Argentina on June 4, 1975. They were credited to the Minister of Economy, Celestino Rodrigo, soon after his appointment in May by President Isabel Perón. It included:
  - a 150% devaluation of currency,
  - a 180% increase in fuel price,
  - a 100% increase in utility & transportation prices &
  - a 45% increase in wages. Riots followed. The President was thrown off in a coup on 24-Mar-1976.
- Argentina extended \$1.2 bn loan to Cuba on 28-Aug-73 that was never repaid & drained its FX reserves.

# Argentina: A History of Financial Crises & Sovereign Debt Defaults ... (2): The 1989 Hyperinflation & the Failed Primavera Plan

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- **The 1989 Hyperinflation:** It was a catastrophic economic crisis characterized by annual inflation rates exceeding 3,000%. Banking system collapsed after decades of chronic budget shortfalls that forced the government to rely heavily on inflationary money printing. The August 1988 **"Primavera Plan"** miserably failed, drove the central bank into severe debt distress. The plan was based on a heterodox economic stabilization program and included (i) **Price agreements** with the Argentine Industrial Union (UIA) and the Chamber of Commerce to implement a system of decreasing, controlled monthly price increases. In exchange, the Value Added Tax (VAT) was cut from 18% to 15%, (ii) **Split Exchange Market** where in the government instituted a multi-tier exchange rate system. Agricultural exports were liquidated at a lower commercial rate, while industrial exports and financial transactions were handled via a higher, semi-free financial rate, (iii) **State Austerity** by freezing public sector hiring, suspending salary negotiations with state unions, and plans for quick privatization of state-owned companies and (iv) **Price hikes** by increasing rates for public utilities by 30% right before freezing costs.
- Inflation temporarily dropped to single digits by Dec 1988 but the plan failed due to severe shortage of FX reserves. With food riots, political uncertainty mounted. High domestic debt burden and interest obligations eroded public sector surpluses, triggering a complete loss of market confidence. In February 1989, World Bank suspended its financial aid to Argentina. This triggered a massive run on the Argentine currency (the *austral*). The Central Bank sold roughly \$900 million of reserves in just a few days trying to defend the currency before abandoning the peg. As inflation returned, local currency savings became completely worthless, prompting people to hoard US dollars. Resultant dollarization further eroded monetary control. President Raúl Alfonsín had to resign and hand over power to President Carlos Menem early in July 1989 amidst the chaos.

# Argentina: A History of Financial Crises & Sovereign Debt Defaults ... (3):

## The 1998–2002 Argentine Great Depression

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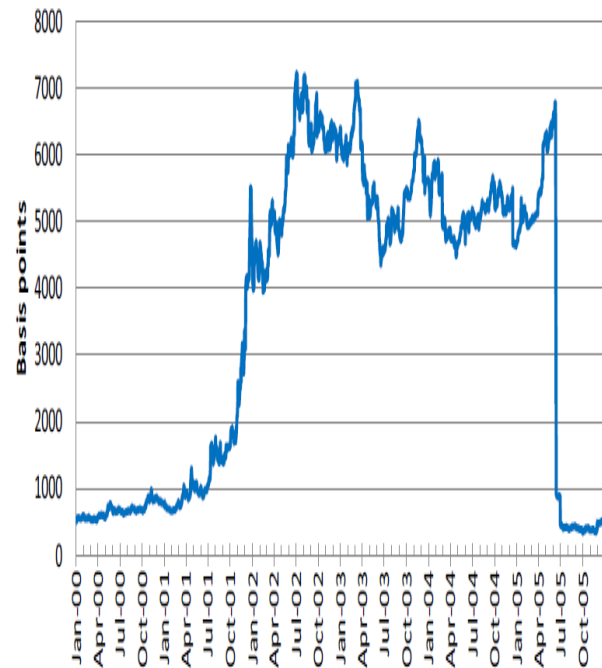
- Real GDP fell 28% from peak of 1998 to trough of 2002
- Peg of 1:1 with USD collapsed and ARS had to be floated in Jan. 2002 and depreciated to ~ 4:1 with USD
- Inflation that had fallen to 3.9% by 1994 on back of Convertibility Plan rose back to 41% by 2002
- Unemployment rose from 12.4% in 1998 to 23.6% in 2002
- Poverty rate shot up from 25.9% in 1998 to 57.5% in 2002
- Real wages fell 23.7% in 2002
- On April 1, 1991, Argentina established its **currency board** as part of its **Convertibility Plan**, by pegging the Argentine peso 1:1 with the USD but this prevented the government from devaluing the currency to restore market balance. The Plan was shaped by President Carlos Menem with his Economy Minister Domingo Cavallo & required (i) the central bank to back at least two-thirds (and eventually all) of the domestic monetary base with international U.S. dollar reserves and (ii) banned indexation and prohibited the central bank from printing money to finance government budget deficits.
- **Argentine Crash (1998–2002):** As a fallout of East Asian financial crisis (1997-98), followed by the Russian GKO crisis (Aug. 1998) & the Brazilian currency crisis (Aug-Oct 1998), financial crisis spilled over to Argentina after a deep recession hit the country in Q3: 2000 and lasted till Q2: 2002. It came to be called the **1998–2002 Argentine Great Depression**. The depression culminated in Dec 2001 with the largest sovereign debt default in history at the time (\$95 billion), freezing of bank accounts (corralito), and a political crisis resulting in five presidents in two weeks. The corralito was a severe economic restriction in Argentina that limited bank cash withdrawals to \$250 per week. It was imposed by Economy Minister Domingo Cavallo under President Fernando de la Rúa on Dec 1, 2001. It caused mass protests, and triggered a massive political crisis.
- Over 50% of Argentines fell below the poverty line & 25% became indigent by 2002. Political upheaval with widespread riots and protests followed in Dec. 2001 & led to multiple presidential resignations. Argentina declared one of the largest sovereign debt defaults in history and abandoned the fixed peso-dollar peg.



# Argentina: A History of Financial Crises & Sovereign Debt Defaults ... (4): The 2014 Technical Sovereign Default

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Argentina Bond Spreads (EMBI+)

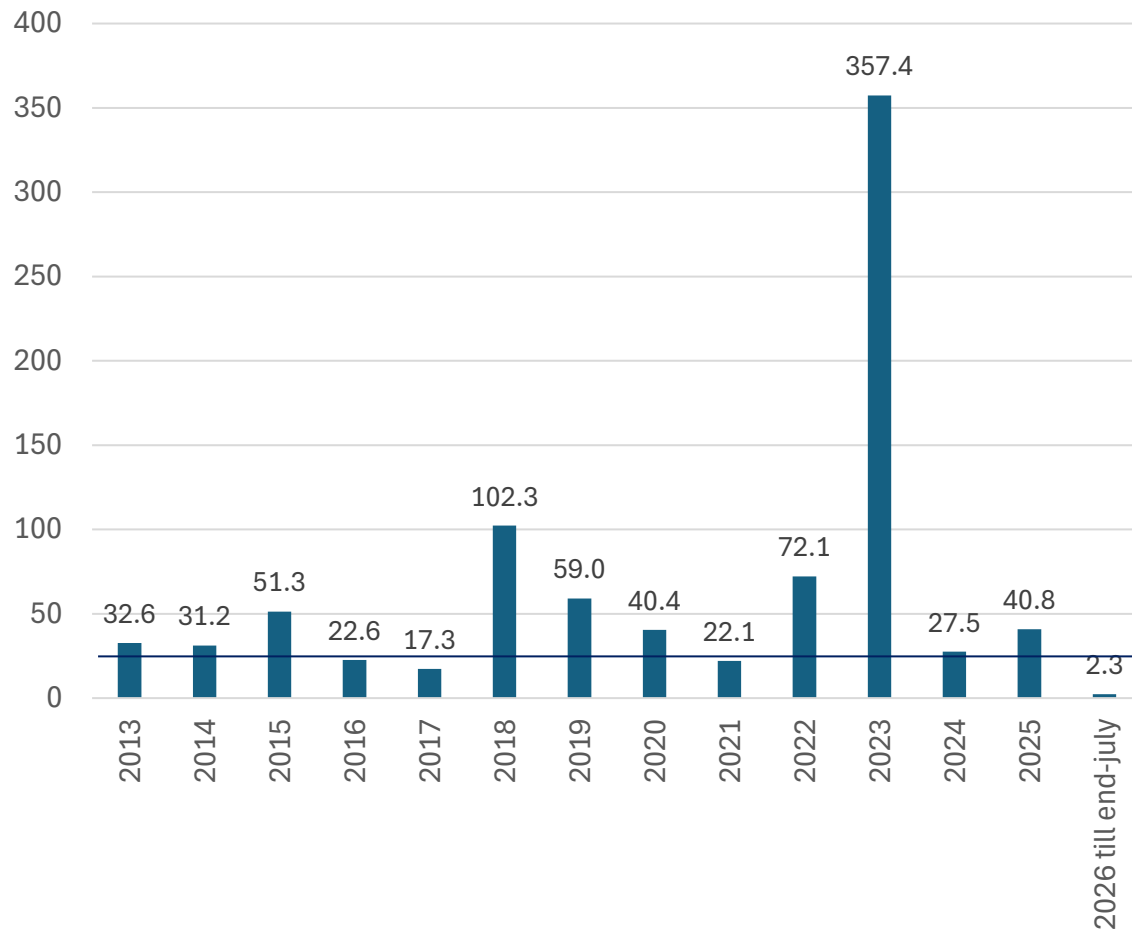


- It was a selective sovereign default resulting from prolonged legal battles with holdout hedge funds ("vulture funds") over restructured debt. On July 30, 2014, Argentina failed to pay \$539 million in interest to exchange bondholders because a U.S. court blocked the funds. This crisis stemmed from a long legal battle with U.S. hedge funds ("holdouts") that refused past debt restructuring deals.
- **Holdout creditors** were ~ 7% of bondholders who rejected Argentina's 2005 and 2010 debt restructuring swaps (which offered roughly 30 cents on the dollar) and instead sued it for 100% face value. U.S. District Judge Thomas Griesa ruled that Argentina could not pay the 93% of compliant exchange bondholders unless it simultaneously paid the holdout hedge funds in full under *pari passu* (equal treatment) terms.
- Argentina invoked **RUFO Clause Constraint** arguing it could not pay the holdout funds without triggering the RUFO (Rights Upon Future Offers) clause in its restructured contracts, which would have legally allowed compliant bondholders to demand equal higher payouts—creating an unaffordable \$100 billion liability. S&P downgraded Argentina's rating to "selective default". Argentina resolved the 2014 technical default in February 2016 after reaching a \$4.6 billion agreement with holdout hedge funds.

# Argentina: A History of Financial Crises & Sovereign Debt Defaults ... (5): A Series of Currency Crises during 2013-2025

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Annual Depreciation of Argentina Peso (%), 2013-26



- Argentina was not a part of “Fragile Five” during 2013 Taper Tantrum as Morgan Stanley excluded it because it anyway did not have access to international capital markets. However Argentina peso (ARS) was nevertheless came under pressure due to contagion.
- However, as Fed tried to normalize monetary policy after GFC by nine 25 bps rate hikes starting Dec 2015 taking target Federal Funds Rate to 2.25-2.5% by Dec 2018 (i.e. 225 bps hike over 3-years) a massive capital accompanied by drought pushed Argentina into a BOP & sovereign debt crisis. It received a record US\$57 billion bailout from the IMF as an “**Exceptional Access**” (1227% of quota) as a **Standby Arrangement**
- Argentina successfully **restructured about \$65 billion of its foreign debt in September 2020** after defaulting during the COVID-19 pandemic, achieving a 93.5% creditor participation rate and lowering average interest rates from roughly 7% to 3%.
- The Argentine peso crashed in 2023 due to severe fiscal deficits, extreme money printing, and a deliberate 54% official devaluation by newly elected President Javier Milei to correct an overvalued exchange rate.

# Argentina: A History of Financial Crises & Sovereign Debt Defaults ... (6): IMF response to the series of Currency Crises during 2013-2025

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- **2018 Stand-By Arrangement (SBA):**
  - Approval Date: June 20, 2018 (under President Mauricio Macri)
  - Initial Amount: US\$50 billion, later augmented to about US\$56.3 billion
  - Core Goal: Restore market confidence, reduce public financing needs, and place debt on a downward path following sharp currency depreciation.
  - Outcome: The program went off-track amid deep economic contraction and political transition.
- **2022 Extended Fund Facility (EFF):**
  - Approval Date: March 25, 2022 (under President Alberto Fernández)
  - Amount: US\$44 billion (SDR 31.914 billion) designed to replace the 2018 SBA.
  - Core Goal: Strengthen public finances, combat persistent high inflation, protect social spending, and refinance prior debt.
  - Outcome: Suffered continuous target slippages due to severe droughts and macro imbalances.
- **2025–2026 Extended Fund Facility (EFF):**
  - Approval Date: April 11, 2025 (48-month arrangement under President Javier Milei)
  - Amount: **~US\$21 billion** (SDR 15.267 billion) = **479% of Quota**; the second review was completed on May 21, 2026, unlocking an additional ~US\$1 billion.
  - Core Goal: Entrench disinflation, rebuild foreign exchange reserves, phase out capital controls, and support sustainable private-sector growth.
  - Current Status: Active in 2026, supported by structural fiscal consolidation and recent legislative reforms.

# Argentina: A History of Financial Crises & Sovereign Debt Defaults ... (7):

## IMF Conditionalities for Argentina's 2025-26 EFF

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### ■ Quantitative Performance Criteria (QPCs)

- **Primary Fiscal Balance:** Cumulative floors on the federal government primary surplus, targeting roughly 1.4% to 2.5% of GDP to maintain deep spending discipline.
- **International Reserves:** Periodic quantitative floors set for net international reserves accumulation by the central bank (BCRA), adjusted to handle external shocks. NIR accumulation targets for mid-2025 and end-2025 were missed due to capital outflows and dollarization, requiring waivers of non-observance and target modifications.
- **Monetary Financing:** Strict ceilings prohibiting direct central bank financing of the government deficit.
- **Domestic Arrears:** Ceilings limiting the federal government stock of domestic payment arrears.

### ■ Policy Conditions and Structural Reforms

- **Fiscal Consolidation:** Enforcing strict expenditure controls while preserving spending space for targeted universal child and food assistance social programs.
- **Monetary and FX Framework:** Refining monetary operations to lower interest rate volatility, ease capital account/FX restrictions, and improve policy transmission.
- **Debt Management:** Implementing a strategy to extend peso debt maturities and substitute inflation- or FX-linked securities with fixed-rate instruments.
- **Structural Benchmarks:** Advancing key structural legislations covering fiscal efficiency, trade, and labour reform streams.